

Project Oven Line 3 Upgrade

THE BOTTOM LINE

Approve a €240k upgrade of Oven Line 3 to lift output by 35% before peak season.

Line 3 is the bottleneck in chocolate-chip and oat-raisin production. The new tunnel oven delivers 35% more bakes per hour, cuts gas use by 18%, and pays back in 11 months. Without it, we cannot honour the November DACH supermarket contracts.

PAYBACK

11months

Break-even on the €240k investment



WHY NOW

Cookie demand for Q4 is already 22% above last year and three of our biggest retail accounts have signed firm orders for the November shelf reset. Line 3 is the constraint — it produces 38% of total volume but runs at 94% utilisation on day shifts and breaks down twice a week on average.

Replacing the 14-year-old conveyor oven with a modern tunnel oven is the cheapest way to lift capacity without adding a third shift. The vendor has a slot in their build queue for August; if we miss it, the next install window is February — too late for this year.

THE CRUCIAL DETAILS · 5 Ws + H

What	Why	Who	When	Where	How
Replace the conveyor oven on Line 3 with a tunnel oven	Q4 demand exceeds current capacity by 28%	Operations · 2 engineers · 1 line lead	Install Aug 2026 · ramp Sep 2026	Bakery 1, Production Hall B	Vendor-led install during 2-week scheduled shutdown

PROS

upside

- +35% bakes per hour on Line 3
- 18% gas consumption per kg of cookie
- Honours signed Q4 DACH retail contracts
- Removes a recurring breakdown root cause

CONS

risks

- 2-week production shutdown during install
- €240k capex hits Q3 cash flow
- Operators need 5 days of retraining

TIMELINE

4 phases

Phase 01	Phase 02	Phase 03	Phase 04
<u>June</u>	<u>August</u>	<u>September</u>	<u>November</u>
Vendor contract & deposit	Decommission old oven, install new	Trial bakes, recipe tuning, ramp	Full Q4 production at new capacity

THE ASK

Approve €240k capex. Sign by 30 June.

Decision by 30 Jun →

Behind Oven Line 3 Upgrade

BACKGROUND & HISTORY

The current Line 3 conveyor oven was installed in 2012 and has been the production bottleneck for the last three quarters. We have already optimised the recipe handover, the depositor speed, and the cooling tunnel — the oven itself is the remaining constraint. Maintenance hours on it have doubled year-over-year and a 2025 thermal audit flagged the heating elements as end-of-life.

PROBLEM STATEMENT

We cannot bake enough chocolate-chip and oat-raisin cookies during Q4 to meet the demand we have already won. In November 2025 we missed 4 days of orders to two large supermarket chains and paid €31k in late-delivery penalties. The same accounts have ordered 28% more volume for November 2026 — meaning the same shortfall would now cost roughly €70k in penalties plus reputation damage at exactly the wrong moment.

STAKEHOLDERS

CEO	Approves capex above €200k
Head of Operations	Owns delivery & install
Head of Finance	Cash-flow planning
Plant safety officer	Sign-off on commissioning
Procurement	Vendor contract & SLAs

DETAILED CONSIDERATIONS

- Vendor build slot is held for us until 30 June — slot lost after that.
- August shutdown overlaps with the planned annual maintenance week, so we lose only 1 extra production week instead of 2.
- New oven uses the same gas connection and floor footprint — no facility-side modifications needed.
- Insurance discount of ~€4k/yr applies once the old oven is decommissioned (it is on the carrier's watchlist).

ALTERNATIVES CONSIDERED

Add a third shift on Line 3	Solves capacity short-term but costs €180k/yr in overtime and burns out the team; does not fix breakdown frequency.
Outsource Q4 overflow to a co-packer	Co-packers quoted €0.42/cookie vs our €0.18 cost; eats the entire Q4 margin.
Refurbish the existing oven	Vendor estimate €90k for a refurb that buys 18 months. New oven cost-per-year is lower over a 10-year horizon.

RISKS & MITIGATIONS

Install overruns the 2-week shutdown window	Contract includes a daily €4k late-delivery clause; co-packer on standby for 1-week overflow.
New oven needs recipe re-tuning beyond expected	Two-week soft-launch with limited SKUs before retail orders ramp; food technologist embedded for first 30 days.
Q3 cash flow tightens	Vendor accepts 30% deposit / 50% on commissioning / 20% on acceptance — spreads the hit across two quarters.

SUPPORTING DATA

Production logs Q1 2026: Line 3 averaged 1,420 kg/h, target 1,920 kg/h. Breakdown register: 9 unplanned stops in March alone, mean 2.4h each = 21.6 lost production hours = ~31,000 kg of cookies. Vendor reference visit (DE): identical oven running 4,200h/year with two scheduled service windows; no unplanned stops in Y1 or Y2.